

perlocal data and strength in logistics are big plays here, Ganesh adds.

Amazon and Walmart-backed Flipkart, the leading e-commerce players in India, have an advantage, but they have to play catch-up in quick commerce. Flipkart is trying to make a comeback in this space; this will be its third attempt. Reports have also said that Amazon has approached Swiggy for a deal related to Instamart.

Taneja of Lightspeed India says e-commerce and quick commerce cannot be compared, as both would coexist. "You see, when e-commerce came, people were scared that *kiranas* (neighbourhood grocery stores) would shut. Did that happen? Similarly, e-commerce and quick commerce have a lot of headroom to grow. These are different shopping trips."

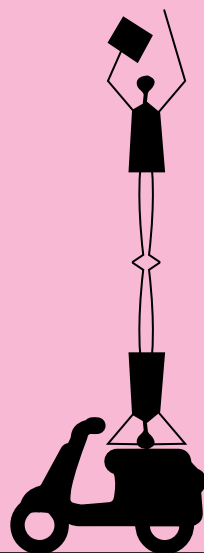
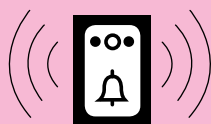
It's not just goods deliveries that are fast with quick commerce firms. They're also looking to achieve profitability in a surprisingly short time. Blinkit, for instance, became adjusted Ebitda profitable in March 2024, according to Dhindsa in a letter to shareholders. Zepto's Palicha reports that 75% of their 350 dark stores are cash flow positive, with newer stores becoming profitable in about six months, compared to 23 months initially. Swiggy, which launched its quick commerce business Instamart in 2020, grew 30x in two years and achieved Ebitda profitability in nine years, as stated in the company's 2023 annual report.

The secret behind this success is minimal inventory build-up. But, of course, some caution is warranted. Palicha says it's premature to predict if quick commerce will completely overshadow traditional e-commerce in the near future. "The coexistence and potential synergies between these models are more likely than one entirely displacing the other in the foreseeable future."



"Over time, each player has cultivated a sizeable and loyal audience, [who are] consistently rewarding these platforms with frequent purchases"

RAHUL TANEJA
PARTNER,
LIGHTSPEED INDIA



WHAT NOW?

Investors and industry insiders have very strong views on who is leading in the quick commerce race. Blinkit stands out for its extensive category offerings, Zepto excels in rapid delivery, and Swiggy skillfully balances both, they say. But the question remains: who is leading the race? According to a shareholder letter, Blinkit's average delivery time is 12.5 minutes. Zepto, on the other hand, claims a swift 10-minute average, while Swiggy boasts an average of under 20 minutes, according to a blog posted on its website. Clearly, Blinkit dominates with its vast selection and SKUs, but Zepto is setting the pace in the ultra-fast delivery game.

According to financial reports, Zepto's consolidated operating revenue for FY23 was ₹2,024 crore. Blinkit reported ₹2,302 crore in FY24, turning Ebitda positive. Swiggy does not provide data separately for Instamart.

The headroom for growth of the quick commerce players is big, but Bhatnagar says that after a few years, these players have to craft a different playbook to penetrate deeper into Tier III towns.

According to Redseer, this aggressive growth spree is expected to continue for the next couple of years, which will see quick commerce reach around 20 million monthly transacting users (MTUs) by FY26. After this, user growth and, hence, market growth are expected to stabilise a bit, as indicated by the correction in food delivery growth beyond the 20 million MTU mark.

That growth is attracting more competitors. And each player is carving out a niche in this high-stakes industry. That's good news for customers. **BT**

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